

upset if he had given his book a more precise title—for instance, *What Used to Work on Wall Street...Until I Wrote This Book*.

- **Follow “The Foolish Four.”** In the mid-1990s, the Motley Fool website (and several books) hyped the daylights out of a technique called “The Foolish Four.” According to the Motley Fool, you would have “trashed the market averages over the last 25 years” and could “crush your mutual funds” by spending “only 15 minutes a year” on planning your investments. Best of all, this technique had “minimal risk.” All you needed to do was this:

1. Take the five stocks in the Dow Jones Industrial Average with the lowest stock prices and highest dividend yields.
2. Discard the one with the lowest price.
3. Put 40% of your money in the stock with the second-lowest price.
4. Put 20% in each of the three remaining stocks.
5. One year later, sort the Dow the same way and reset the portfolio according to steps 1 through 4.
6. Repeat until wealthy.

Over a 25-year period, the Motley Fool claimed, this technique would have beaten the market by a remarkable 10.1 percentage points annually. Over the next two decades, they suggested, \$20,000 invested in The Foolish Four should flower into \$1,791,000. (And, they claimed, you could do still better by picking the five Dow stocks with the highest ratio of dividend yield to the square root of stock price, dropping the one that scored the highest, and buying the next four.)

Let’s consider whether this “strategy” could meet Graham’s definitions of an investment:

- What kind of “thorough analysis” could justify discarding the stock with the single most attractive price and dividend—but keeping the four that score lower for those desirable qualities?
- How could putting 40% of your money into only one stock be a “minimal risk”?